

When Bad Ideas Don't Die

WHY DO ZOMBIE ideas exist? These myths, memes, and disproven theories hold sway long after they should have been dead and buried. Why do investors embrace the terrible, fall in love with the wrong, bet money on the fictitious?

Nowhere is this a bigger problem than in the field of economics. A long list of debunked ideas continues to have a vice grip on amateur and professional investors alike.

Here are a few bad ideas that refuse to die.

Gurus, shamans, and prognosticators

People love experts to tell us what is going to happen in the future. Never mind that their forecasting track record is awful, we prefer the mysticism of the television guru to our own actual thinking.

Here is something that should give you pause: The more confident an expert sounds on TV, the more likely he is to be believed by viewers. And the more self-confident they seem, the worse their track record likely is. Forecasters who got one big outlier correct are more likely to make bolder predictions in the future that tend to be wrong.

Shareholder value

This 1970s theory claimed corporate management should concentrate primarily on increasing share prices. We have since learned its problems: Short-term focus on quarterly earnings that leads to a decline in long-term research and development (R&D), typically to the detriment of a company's long-term prospects. Short-termism and stock-option compensation causes management to focus on immediate quarterly returns. It has also led to earnings management, accounting fraud, and a raft of related scandals.